HOWDEN JOINERY PROPERTIES LIMITED

DIRECTORS' REPORT AND FINANCIAL STATEMENTS

FOR THE 52 WEEKS ENDED 26 DECEMBER 2009

REGISTERED NUMBER: 5656171

WEDNESDAY

AZFFJJX2

A37 12/05/2010 167

COMPANIES HOUSE

HOWDEN JOINERY PROPERTIES LIMITED
DIRECTORS' REPORT

The directors have pleasure in submitting their annual report and the audited financial statements of the Company for the 52 weeks to 26 December 2009

BUSINESS REVIEW AND PRINCIPAL ACTIVITIES

The Company is a wholly owned subsidiary of Galiform Plc and operates as part of the Galiform Plc Group ('the Group") The Company's principal activities are owning, leasing, and managing properties on behalf of Howden Joinery Limited, a fellow Group subsidiary, for which the Company receives income from Howden Joinery Limited The directors are not aware, at the date of this report, of any likely major changes in the Company's activities in the next year

As shown in the Company's profit and loss account, the Company's turnover is £30,913,000 and profit after tax is £154,000 The directors are satisfied with the progress of the business and do not recommend the payment of a dividend (*2008 nil*) The balance sheet shows the Company's financial position at the end of the year, which the Directors consider to be satisfactory

The Group manages its operations on a Group basis For this reason, the Company's directors believe that further key performance indicators specific to the Company are not necessary or appropriate for an understanding of the development, performance or position of the business The performance of the Group, which includes the Company, is discussed in the Group's Annual Report which does not form part of this report

The Company, as part of the Group, recognises the importance of its environmental responsibilities, monitors its impact on the environment, and designs and implements policies to reduce any damage that might be caused by the Group's activities The Company operates in accordance with Group policies, which are described in the Group's Annual Report, which does not form part of this Report

PRINCIPAL RISKS AND UNCERTAINTIES

The Company is financed by a loan from its ultimate parent and has no third party debt It therefore has no interest rate exposure The Company has no other significant risks and uncertainties, other than those risks that it shares with the Group, given that the Company's principal activities are managing properties on behalf of other Group companies The Group's risks are discussed in the Group's Annual Report, which does not form part of this Report

GOING CONCERN

The company's freehold property acts as security on the Group's asset backed bank facility The security on this asset could be called upon if the Group were to breach its borrowing facility or covenants

The Group's latest forecasts and projections have been stress-tested for reasonably possible adverse variations in trading performance and show that the Group should be able to operate within the terms of its current borrowing facility and covenants for the foreseeable future The EBITDA covenant for Howden Joinery Limited has the lowest level of headroom based on these projections It is calculated each four week period on a three and six period rolling basis, such that short term variability in trading performance would increase the risk of non-compliance Nevertheless, whilst there can be no absolute certainty, after due consideration of the impact of a reasonably possible further decline on the recent trading performance experienced, it is not considered that this covenant will be breached in the foreseeable future On this basis the Directors of the Company believe that the security on the facility could not be called upon

After making enquiries and taking into consideration the profitability and financial position of the company, the directors have formed a judgement, at the time of approving the financial statements, that there is a reasonable expectation that the company has adequate resources to continue in operational existence for the foreseeable future,based on written commitment of financial support from its ultimate parent Company, Galiform plc, which is legally binding For this reason the directors continue to adopt the going concern basis in preparing the financial statements

HOWDEN JOINERY PROPERTIES LIMITED
DIRECTORS' REPORT (cont'd)

DIRECTORS

The directors of the Company who served throughout the period, except as noted, were

M Ingle
C Youell
J McManus
M Robson (appointed 4th March 2010)

SUPPLIER PAYMENT POLICY

It is the Company's policy, in relation to all its suppliers, to settle its terms of payment when agreeing the terms of the transaction and to abide by those terms provided that it is satisfied that the supplier has provided the goods or services in accordance with agreed terms and conditions Payments are actually made by another group company, Howden Joinery Limited Information regarding creditor days ratios can be found in that company's accounts

POLITICAL AND CHARITABLE CONTRIBUTIONS

The Company did not make any charitable or political donations during the period *(2008 nil)*

AUDITORS

Each person who is a director at the date of approval of this annual report confirms that

- so far as the director is aware, there is no relevant audit information of which the Company's auditors are unaware, and
- the director has taken all the steps he ought to have taken as a director in order to make himself aware of any relevant audit information and to establish that the Company's auditors are aware of that information

The confirmation is given and should be interpreted in accordance with the provisions of s418 of the Companies Act 2006

Deloitte LLP have indicated their willingness to be reappointed for another term and appropriate arrangements have been put in place for them to be reappointed as auditors in the absence of an Annual General Meeting

REGISTERED OFFICE

The company's registered office is International House, 66 Chiltern Street, London, W1U 4JT

HOWDEN JOINERY PROPERTIES LIMITED
DIRECTORS' REPORT (cont'd)

STATEMENT OF DIRECTORS' RESPONSIBILITIES

The directors are responsible for preparing the Annual Report and the financial statements in accordance with applicable law and regulations

Company law requires the directors to prepare financial statements for each financial year Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law) The financial statements are required by law to give a true and fair view of the state of affairs of the company and of the profit or loss of the company for that period. In preparing these financial statements, the directors are required to

- select suitable accounting policies and then apply them consistently,
- make judgements and estimates that are reasonable and prudent,
- state whether applicable UK accounting standards have been followed, and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the Company will continue in business

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the company's transactions and disclose with reasonable accuracy at any time the financial position of the company and enable them to ensure that the financial statements comply with the Companies Act 2006 They are also responsible for safeguarding the assets of the company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities

By Order of the Board

C Bishop
Secretary
27 April 2010

INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF HOWDEN JOINERY PROPERTIES LIMITED

We have audited the financial statements of Howden Joinery Properties Limited for the 52 week period ended 26 December 2009 which comprise the Profit and Loss Account, the Balance Sheet and the related notes 1 to 15 The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards (United Kingdom Generally Accepted Accounting Practice)

This report is made solely to the company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006 Our audit work has been undertaken so that we might state to the Company's members those matters we are required to state to them in an auditors' report and for no other purpose To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Company and the Company's members as a body, for our audit work, for this report, or for the opinions we have formed

Respective responsibilities of directors and auditors

As explained more fully in the Directors' Responsibilities Statement, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view Our responsibility is to audit the financial statements in accordance with applicable law and International Standards on Auditing (UK and Ireland) Those standards require us to comply with the Auditing Practices Board's (APB's) Ethical Standards for Auditors

Scope of the audit of the financial statements

An audit involves obtaining evidence about the amounts and disclosures in the financial statements sufficient to give reasonable assurance that the financial statements are free from material misstatement, whether caused by fraud or error This includes an assessment of whether the accounting policies are appropriate to the parent company's circumstances and have been consistently applied and adequately disclosed, the reasonableness of significant accounting estimates made by the directors, and the overall presentation of the financial statements

Opinion on financial statements

In our opinion the financial statements

- give a true and fair view of the state of the Company's affairs as at 26 December 2009 and of its profit for the 52 weeks then ended,
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice, and
- have been prepared in accordance with the requirements of the Companies Act 2006

Opinion on other matters prescribed by the Companies Act 2006

In our opinion

- the information given in the Directors' Report for the financial year for which the financial statements are prepared is consistent with the financial statements

Matters on which we are required to report by exception

We have nothing to report in respect of the following matters where the Companies Act 2006 requires us to report to you if, in our opinion

- adequate accounting records have not been kept by the parent company, or returns adequate for our audit have not been received from branches not visited by us, or
- the financial statements are not in agreement with the accounting records and returns, or
- certain disclosures of directors' remuneration specified by law are not made, or
- we have not received all the information and explanations we require for our audit

John Adam (Senior Statutory Auditor)
for and on behalf of Deloitte LLP
Chartered Accountants and Statutory Auditors
London, United Kingdom
27 April 2010

HOWDEN JOINERY PROPERTIES LIMITED
PROFIT AND LOSS ACCOUNT
FOR THE 52 WEEKS ENDED 26 DECEMBER 2009

	NOTES	**52 weeks to 26 Dec 2009 £000**	52 weeks to 27 Dec 2008 £000
Rental income	1	**30,913**	30,057
Cost of sales		**(29,044)**	(28,535)
Gross profit		**1,869**	1,522
Administrative expenses		**(1,021)**	(1,069)
Operating profit		**848**	453
Loss on disposal of properties		(29)	-
Profit on ordinary activities before finance charges and taxation		**819**	453
Finance charges	5	**(10)**	(17)
Profit on ordinary activities before taxation	2	**809**	436
Tax on profit on ordinary activities	6	**(655)**	(289)
Profit for the financial period		**154**	147

The results for the current and prior periods derive from continuing operations

There are no recognised gains or losses in the current and prior financial period other than those included in the profit and loss account and therefore no statement of recognised gains and losses has been presented

HOWDEN JOINERY PROPERTIES LIMITED
BALANCE SHEET AT 26 DECEMBER 2009

	NOTES	26 December 2009 £000	26 December 2009 £000	27 December 2008 £000	27 December 2008 £000
Fixed assets					
Tangible assets	7		**9,750**		10,211
Current assets					
Debtors	8	**8,422**		7,468	
Current liabilities					
Creditors amounts falling due within one year	9	**(16,695)**		(16,525)	
Net current liabilities			**(8,273)**		(9,057)
Total assets less current liabilities			**1,477**		1,154
Provisions for liabilities and charges	10		**(500)**		(331)
Net assets			**977**		823
Capital and reserves					
Called up share capital	12		-		-
Profit and loss account	13		**977**		823
Shareholders' funds			**977**		823

Approved by the Board of Directors on 27 April 2010 and signed on their behalf by

C Youell
Director

Company registration number 526923

1. ACCOUNTING POLICIES

The accounting policies summarised below have all been applied consistently throughout the current and prior period

BASIS OF PREPARATION

The financial statements have been prepared under the historical cost convention and in accordance with applicable United Kingdom accounting standards The financial statements have also been prepared on the going concern basis as discussed in the Directors' Report on page 1

Under Financial Reporting Standard 1 (revised 1996), the Company is exempt from the requirement to prepare a cash flow statement on the grounds that it is a wholly owned subsidiary undertaking and a consolidated cash flow statement is given in the financial statements of Galiform Plc

The financial statements include the undertakings for the 52 week period ended 26 December 2009 The comparative period covers the 52 weeks ended 27 December 2008

RENTAL INCOME

Rental income comprises of income received from a licence permitting Howden Joinery Ltd to occupy properties within the ownership or leasehold of Howden Joinery Properties Ltd, and in respect of one property, the rent received under an operating lease between Howden Joinery Ltd and Howden Joinery Properties Ltd It also includes management charges received for managing the rentals Rental income is accued on a time basis by reference to the agreement entered into

FIXED ASSETS

Fixed assets are stated at cost net of accumulated depreciation and net of any provision for impairment Depreciation is charged on freehold properties (excluding land values and payments on account, and assets in the course of construction) and long leaseholds at the rate required to write off the cost or valuation of the assets over their estimated useful life of 50 years Short leaseholds are depreciated over the life of each individual lease

In addition, accelerated depreciation is provided on those properties in which trading has ceased during the period in order to reduce the value of the relevant properties to the estimated recoverable amount

TAXATION

UK Corporation tax is provided at amounts expected to be paid or recovered using tax rules and laws that have been enacted or substantially enacted by the balance sheet date

Deferred taxation is provided on a full provision basis, without discounting, on all timing differences which have arisen but not reversed at the balance sheet date

Except where otherwise required by accounting standards no timing differences are recognised in respect of

(a) property revaluation surpluses where there is no commitment to sell the asset, and
(b) gains on sale of assets where those assets have been rolled over into replacement assets

LEASED ASSETS

Expenditure under operating leases is charged to the profit and loss account on a straight-line basis over the period of the lease

2. PROFIT ON ORDINARY ACTIVITIES BEFORE TAXATION

Profit on ordinary activities before taxation is stated after charging / (crediting)

	52 weeks to 26 Dec 2009 £000	52 weeks to 27 Dec 2008 £000
Depreciation - owned assets	**873**	772
Rentals paid on property operating leases	**27,960**	27,489
Loss on disposal of short leasehold properties	**29**	-
Fees payable to the Company's auditors for the audit of the Company's annual accounts	**10**	10
Fees payable to the Company's auditors for tax services	**10**	10

3. STAFF NUMBERS AND COSTS (excluding directors)

The Company had no employees *(2008 nil)*, and staff costs amounted to £nil *(2008 £nil)*

4. REMUNERATION OF DIRECTORS

No director received any emoluments from this Company during the period *(2008 none)*

5. FINANCE CHARGES

Other finance charges	52 weeks to 26 Dec 2009 £000	52 weeks to 27 Dec 2008 £000
Interest paid on rent reviews	**10**	17
	10	17

6. TAXATION

	52 weeks to 26 Dec 2009 £000	52 weeks to 27 Dec 2008 £000
Current tax charge for the period	**436**	245
Adjustment in respect of prior years	**14**	(67)
Deferred taxation (note 11) - current year	**29**	33
- adjustments in respect of prior year	**176**	79
Tax charge on profit on ordinary activities	**655**	289

Factors affecting current period corporation tax

	52 weeks to 26 Dec 2009	52 weeks to 27 Dec 2008
The current year current taxation charge, as a percentage of profit on operating activities before taxation, is calculated at	**53.9%**	**66.3%**

There is no unprovided deferred tax

6. TAXATION (Cont'd)

The current corporation tax charge for the period is higher than the standard rate of corporation tax of 28% for the following reasons

	52 weeks to 26 Dec 2009 £000	52 weeks to 27 Dec 2008 £000
Profit on ordinary activities before taxation for the period	**809**	436
Profit on ordinary activities before taxation for the period multiplied by the standard rate of corporation tax in the UK of 28% *(2008 28 5%)*	**227**	124
Effects of		
Depreciation in excess of capital allowances	**211**	121
Movement on short term timings	**(10)**	-
Profit on disposal of non-qualifying fixed assets	**8**	-
Prior year adjustment	**14**	(67)
Current tax charge for the period	**450**	178

7. TANGIBLE FIXED ASSETS

	Land & Freehold Properties £000	Leasehold properties Over 50 Years £000	Leasehold properties Under 50 Years £000	Total £000
Cost or valuation				
At 27 December 2008	926	83	11,361	12,370
Additions	-	-	488	488
Disposals	-	(83)	(11)	(94)
At 26 December 2009	**926**	**-**	**11,838**	**12,764**
Depreciation				
At 27 December 2008	(148)	(5)	(2,006)	(2,159)
Charge for the year	(9)	-	(862)	(871)
Disposals	-	5	11	16
At 26 December 2009	**(157)**	**-**	**(2,857)**	**(3,014)**
Net book value				
At 27 December 2008	778	78	9,355	10,211
At 26 December 2009	**769**	**-**	**8,981**	**9,750**

Land & Freehold properties at cost includes land of £514,000 (*2008 £514,000*) on which depreciation is not charged

8. DEBTORS

Amounts falling due within one year	26 Dec 2009 £000	27 Dec 2008 £000
Trade debtors	**109**	140
Amounts owed by parent and fellow subsidiary undertakings	**545**	-
Prepayments and accrued income	**6,510**	6,028
VAT	**1,258**	1,300
	8,422	7,468

9. CREDITORS

Amounts falling due within one year	26 Dec 2009 £000	27 Dec 2008 £000
Trade creditors	**76**	133
Amounts owed to parent and fellow subsidiary undertakings	**12,828**	12,750
Corporation tax	**436**	177
Accruals and deferred income	**3,355**	3,465
	16,695	16,525

10. PROVISIONS FOR LIABILITIES AND CHARGES

Movements during the period were as follows

	Deferred Taxation £000	Property provision £000	Total £000
At 27 December 2008	245	86	331
Provided	205	159	364
Released	-	(195)	(195)
Utilised	-	-	-
At 26 December 2009	**450**	**50**	**500**

11. DEFERRED TAXATION

An analysis of the deferred tax liability provided in the accounts is as follows

	26 Dec 2009 £000	27 Dec 2008 £000
Accelerated capital allowances	**464**	269
Other timing differences	**(14)**	(24)
	450	245

There is no unprovided deferred tax

12. AUTHORISED AND ISSUED CALLED UP SHARE CAPITAL

	26 Dec 2009 £	27 Dec 2008 £
100 authorised ordinary shares of £1 each	**100**	100
1 allotted, called up issued and fully paid ordinary share of £1	**1**	1

13. RECONCILIATION OF MOVEMENTS IN EQUITY SHAREHOLDERS FUNDS

Movements in share capital and reserves during the period were as follows

	Share Capital Account £000	Profit and loss Account £000	Shareholders' Funds £000
At 27 December 2008	-	**823**	**823**
Profit for the period	-	154	154
At 26 December 2009	-	**977**	**977**

14. FINANCIAL COMMITMENTS

At 26 December 2009 the annual commitments under non-cancellable operating leases for land and buildings were as set out below

	26 Dec 2009 £000	27 Dec 2008 £000
Operating leases which expire		
Within one year	**827**	638
Between two and five years	**5,284**	4,833
After five years	**20,657**	20,449
	26,768	25,920

There were no such commitments for other assets

15. ULTIMATE PARENT COMPANY AND RELATED PARTY DISCLOSURES

The Company's immediate parent company is Howden Joinery Limited and the ultimate parent company and controlling entity is Galiform Plc, both incorporated in Great Britain and registered in England and Wales

The largest and smallest Group in which the results of the Company are consolidated is that headed by Galiform Plc The consolidated accounts of this Group are available to the public and can be obtained from the Registrar of Companies, Companies Registration Office, Crown Way, Maindy, Cardiff, CF14 3UZ

The Company is exempt under FRS 8 from the requirement to disclose transactions within the Group headed by Galiform Plc on the grounds that it is a wholly owned subsidiary